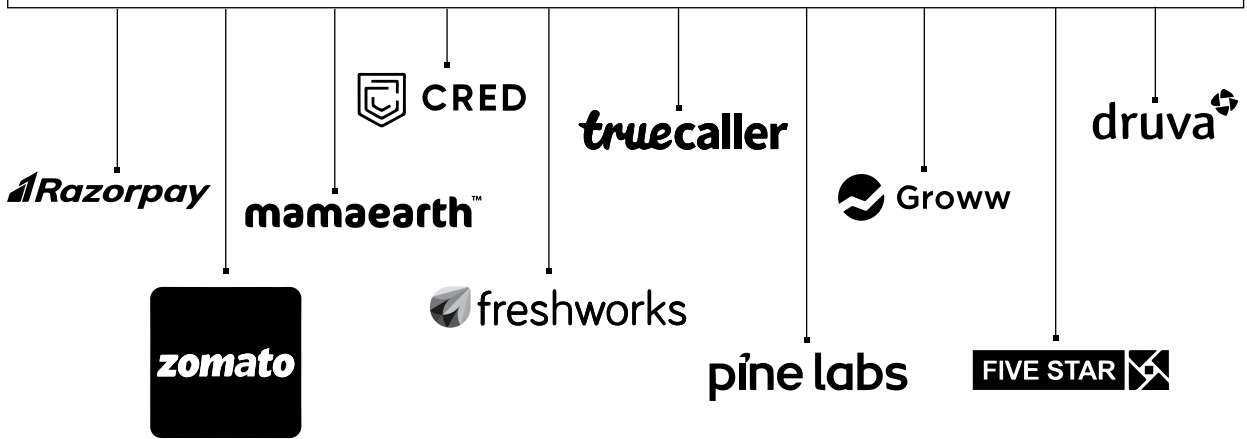


SEQUOIA INDIA'S STANDOUT INVESTMENTS



SOURCE Peak XV Partners

other India-centric funds,” he says.

The other more pressing issue is the string of instances of alleged governance lapses in Sequoia portfolio firms such as BharatPe, Zilingo, Trell, and GoMechanic that have tumbled out over the past year. At BharatPe and Zilingo, investigations led to the sacking of founders and several employees over suspected financial irregularities.

Then there are the problems that are currently playing out at edtech giant BYJU’S. Three board members, including Peak XV’s Managing Director G.V. Ravishankar, stepped down from the company’s board and its statutory auditor Deloitte Haskins resigned. Currently, Peak XV holds just about 7 per cent in the company and BYJU’S says the resignations were the result of the investors’ shareholding falling below a minimum threshold.

According to an insider, Peak XV is not overly concerned about BYJU’S because it has already regained its principal. “BYJU’S is, of course, the big bet that’s going down for them. But from their (Peak XV’s) perspective, they have cleanly gotten out of BYJU’S, at least their principal capital has been returned. So, essentially, it’s their free money that is riding.”

Peak XV will have to navigate these tricky situations quickly. “They are no longer protected by their US parent. They will have to own up their mistakes. These issues are not taken lightly, particularly by the American LPs. The mandate is that when serious governance issues arise, you exit, even if it means you take a 99 per cent loss. Sequoia India has not done that. They have chosen to fight and defend,” says a senior executive at a family office, who wished to remain anonymous.

Peak XV’s Singh says the company has taken prompt action and implemented appropriate remedies in collaboration with other investors whenever such instances have come to light.

Shriram Subramanian, Founder and MD of InGovern, a proxy advisory and corporate governance research firm, believes governance concerns would be a source of concern for LPs, and the VC may have to thoroughly scrutinise all its portfolio companies.

“They (LPs) would want to know how serious these governance issues are and what measures are being taken to resolve them. These are misdeeds of the past because they have been chasing valuations and, like many VCs, Sequoia India too has knowingly pushed these promoters towards a ‘growth-at-any-cost’ type of operating model, and that has come back to bite them. Sequoia has a large portfolio, so it must assure investors about its seriousness,” he says.

According to Subramanian, Peak XV should ask portfolio companies to establish robust systems and processes. It must make them understand that it is essential to have a strong accounting system in place, including a Chief Financial Officer. “You cannot have these companies not have a CFO; it is almost criminal. Monthly reporting metrics should be strictly followed and internal audit should be a continuous process. I would say all growth-stage companies should be doing concurrent audits. They have the resources to do that,” he adds.

THE WAY AHEAD

Beyond the challenges, there are the undeniable opportunities Peak XV is staring at. Singh says the company will not need to raise funds for the